

U.S. Software

Software Budget Trends – Latest Insights from Customer IT Execs and Procurement Officers

Summary

Over the last month or so we've had ~25 conversations with enterprise IT execs and partners and in this report we focus narrowly on projected IT spending growth, what is being prioritized and deprioritized, how buyers are changing contract terms and how IT execs and procurement officers are reacting to software pricing model changes. Amidst all the investor debate about medium-term AI disruption risk to the software sector, near-term budget trends have taken a back seat but in our view are having a much larger impact on Mar/Apr quarter reported results. Bottom line, this is a challenging IT budget environment overall as growth outlooks become increasingly muted, with pressures most pronounced for SaaS and application software vendors, while demand remains relatively healthier across AI, data, security, and cloud infrastructure providers.

Notable Budget Trends

We'd note: 1. This is a tough spending backdrop, as ~80% of our checks cited stable or slowing IT spending growth in 2026 given a combo of a) the impact of AI, b) the geopolitical situation, especially for B2C firms with customers exposed to higher fuel costs and inflation and c) slowing customer headcount growth. 2. There is a higher-than-normal degree of uncertainty in the customer base (it is not just investors that are looking through the fog) and some are reacting by signing shorter-term contracts. 3. The degree of pricing push-back against software suppliers is rising, especially for seat-based apps firms. 4. The rapid transition to a seat-plus-usage model seems inevitable but is going to be met with some resistance as some customers react by optimizing or cutting seats, putting firm usage guardrails in place and/or elongating deal negotiations.

Budget Winners and Losers

While the weakening IT budget outlook poses a risk across all vendors, the more defining trend over the past year has been the pronounced shift in spending mix. Spending items being prioritized include: a) AI, by far the biggest focus, b) AI-enabling data investments, c) cybersecurity (surprisingly durable), and d) cloud infrastructure or hyperscaler spend. Spending items being deprioritized include: a) limit internal headcount growth or even to cut headcount, b) cut external IT staffing or offshore systems integration services spend, and c) the most frequent deprioritized budget item was spending on SaaS or application software, with a desire to contain incremental spend, seat growth and add-on modules. For some time now, the UBS Software team has had a long bias towards AI, data, infrastructure and security stocks and a more cautious view of SaaS or application software stocks, a framework that in our view is now consensus and reflected in stocks. These anecdotes reinforced this bias, keeping us tempered about chasing de-rated apps software stocks and keeping us constructive on Palantir and Snowflake.

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What We've Heard

Let's start with the unvarnished anecdotes from a variety of customer and partner conversations over the last several weeks, organized by subject area. We'll then summarize the common threads in the final section of the report.

Overall 2026 IT Budget Outlook

The overall tone from these checks with respect to overall IT spending growth was mixed/cautious. Of the 14 conversations below, only 3/14 or ~20% cited still-healthy IT budget growth with 11/14 or ~80% citing stable or even shrinking IT spending growth in 2026. This makes for a challenging demand backdrop for enterprise software firms to be selling into, and in our view it is very likely that this spending pressure already impacted software company results over the last 1-2 quarters. In terms of the drivers of this cautious IT spending outlook, the most popular answers were a) the impact of AI, b) the geopolitical situation, especially for B2C firms with customers exposed to higher fuel costs and inflation and c) slower customer headcount growth or even cuts.

- **Customer 1:** *We are seeing the impact of tariffs and higher fuel prices, this requires us to be judicious around software spend and we're seeing IT budget compression. The geopolitical situation is driving a bit more of a conservative approach in overall investments. Also, AI investments are requiring us to double down on cost reduction strategies in other areas to fund these solutions. This just creates uncertainty in how we will be able to purchase and fund investments going forward. These things just compounded budget cuts, making us look at short-term horizon more.*
- **Customer 2:** *A year ago, there was a lot of thought around how much we would need to invest beyond normal IT budget targets, usually sub-5% growth. But as geo pressures, inflation, oil, tariffs started to affect us, the uncertainty creates a scenario where we are now thinking about the need for cost mitigation. If we were thinking about these big bang projects, we pulled back a bit because of the uncertainty. Where we prior were seeking long-term cost savings, now we're seeking short-term cost-cutting so we can react.*
- **Customer 4:** *The current plan is for our IT spend to increase between 10-15% this year and that's mostly in line with 2025, maybe slightly lower. A lot of it is due to growing business across the board with our large financial and fintech customers, but also with new AI initiatives. The budget growth is due partly to AI, but it's the normal growth of the business and the growth of IT infrastructure that we need to spend money on. It's a little bit less than 2025 because 2025 saw more budget going towards AI initiatives.*
- **Customer 6:** *Honestly, I think the budget is going to shrink this year. They're trying to shrink the budget more than 10%. Our insurance products are not the cheapest options, so in order to compete with the ones out there you have to be able to reduce cost. Either you take a little margin, or you start cutting costs. This was the plan going into this year. I don't think there has been much accounting for the things in Iran.*
- **Customer 7:** *Our IT budget is going to increase hundreds of millions. It's increasing because we always want to challenge ourselves on the technology side. It's up 10% this year. For sure that's going to be driven by AI. In order to be aligned with the regulations and stuff that we're supposed to respect.*
- **Customer 9:** *I would say the IT budget this year is stable with last year. We haven't had budget cuts so far at the end of 1Q.*
- **Customer 14:** *In our luxury retail industry, we typically think long-term and spend in Middle East is minimal compared to overall budget. It does not have an impact on our IT spend. We heavily invest in our intelligence and technical layer, but our IT spend in 2026 and 2027, independent of macro, is going to remain the same.*
- **Customer 15:** *I would say not necessarily having to cut into our IT budget, especially for AI workloads and Agent AI capabilities. We managed to create net new budget for our organization, but we are more impacted by the shortage in memory in RAM and the increase in price of hardware from laptop to desktop to servers.*

- **Customer 16:** *We need to reduce costs due to the situation in the automotive market and our business model situation. And one of the main use cases of IT is to reduce costs, not only from an FTE point of view, but also to gain process efficiency. In 2024, we had an increase in IT spend of 12% compared to 2023, in 2025 the increase was a bit lower, about 10%. The increase for 2026 will be around 15-18%.*
- **Customer 17:** *From an IT budget standpoint, we are about a MSD increase this year, in some cases flat depending on the different cross sections. We had some hiring freezes across the organization through the back half of last year with the exception being AI and data. We're trying to drive productivity gains within G&A, things like marketing and HR. Sales and tech are mostly insulated. We will have more of that in 2026. This is both in high-cost geos and back-office locations.*
- **Partner 1:** *For IT budgets, there are no reductions although no significant increases. There were reductions for the last 3-4 years where CIOs were pushed to cut costs.*
- **Partner 2:** *Closing out the year we did not see the growth we were expecting with our business clients in all sectors, gov is still suffering which is a huge part of economy, retail still suffering with uncertainty around tariffs last year and oil prices this year. Retail segment is hesitant, keeping low inventory on shelves, back-ordering, seeing longer cycle times on ecommerce shipments. Folks are less willing to sit on inventory but have started to see a bit of a shift in 2Q26, where if someone sees a deal, they're stocking up. Really a muted environment between Q4 and moving into Q1 of this year, specifically gov and retail suffering. I think everyone is holding onto cash in a lot of cases, and a lot around uncertainty. Not seeing lines of credit cut like during the pandemic but seeing balances in checking accounts higher than we've ever seen. In Q4 of last year there was an increase in late payments, people are holding onto cash till the last moment and reluctant to spend. Businesses are reluctant to spend, just uncertainty with war and oil prices.*
- **Partner 5:** *We were expecting more growth in 1Q, but there is still this sentiment of cautiousness and worriedness with war and people getting laid off, so as a company they need to be able to justify to spend money. Companies are taking more cautious steps, that is the sentiment I am seeing. Things are getting more expensive, gas prices, etc. so companies taking more cautious steps, sentiment is more conservative. So things are still slow, people are not extensively hiring like they were in 2022-2023. We are not seeing project implementation delays, we are just not seeing many upgrades or enhancements to HR or ERP systems or new modules. People are being more conservative right now.*
- **Partner 6:** *In terms of IT budgets, there's been no real change with respect to the exit 2025 position, meaning that enterprise software continues to be under the same sort of squeeze position. In the context of enterprise software specifically at large, the overall posture is that, yes, we want to spend, but we want to take a very, very cautious approach. This is why I say that the exit 2025 position hasn't changed because the macro variability has generally remained the same. In fact, if anything, it has only become more complicated. Secondly, AI and what AI can potentially do continues to create more ripples all over. So these 2 factors at large have caused customers to basically sit tight and only spend where absolutely required in the form of either an additional module or some feature. But barring ServiceNow none of the enterprise software players in my radar have registered what I would call as growth. I mean it has been either just about there as in steady or it has been on the decline a little bit.*

What is Being Prioritized

The bigger IT budget story over the last year, certainly evident in these checks over the last month or so, has been the change in the mix of IT budgets, what is getting prioritized and deprioritized. For some time, the UBS Software team has favored infrastructure, data, and security stocks, while remaining more cautious on SaaS and application software (with the exception of pockets tied to ongoing on-premise to cloud migration—especially ERP modernization—and consolidation toward scaled platform vendors over point solutions). This framework has been and continues to be very rooted in the budget mix commentary we've been hearing from enterprise customers and partners. The most recent conversations below reinforce this theme, though it's worth noting that the increasingly cautious IT budget outlook across our checks presents a growing risk across the broader software landscape.

It is very clear reading these anecdotes that 2026 is the year that traditional enterprises are leaning into AI investments. Of the 16 conversations below, 13/16 or 80%+ overtly flagged a material uptick in focus on AI, consistent with our recently-published Enterprise AI Survey (see link to report [here](#)). As we've said, it's now "game on" in terms of the ripple effect of AI on enterprise IT budgets. This will not come as a surprise to most tech investors. In terms of the other priority budget items, three stood out, a) data investments, in order to enable a high-ROI on AI investments, b) cybersecurity was flagged almost as often as data and c) cloud infrastructure or hyperscaler spend. These spending priorities—data, security and cloud infra—remain consistent with what we've been hearing for some time and shape our bias towards infrastructure, data and security software stocks.

- **Customer 1:** *The biggest gating factor to enabling AI tends to be data quality or lack thereof. As an example, we want to be able to on the procurement side really drive a CLM, contract lifecycle management, solution to automate a lot of our processes. But we have challenges with standardization of MSE terms, where is all the data housed? Because we have poor data mgmt, we're finding the AI use cases have not been able to prove the ROI case, so we need to invest more there. Also, I definitely think cybersecurity is a priority for our company. We're also moving away from on-prem and more toward SaaS. We try to double down on enterprise vendors like Microsoft, SAP, Oracle, and Salesforce, but do have a long-tail of software providers and one of our strategies is to compress that tail over time. We are an SAP ERP shop and moving to S/4HANA. There's a lot of ancillary applications like Finance and HR, so can we consolidate to a single provider? In some cases, we do and some we need to look at our point solutions.*
- **Customer 2:** *Especially with tariff pressure, now oil and inflation, the immediate focus has become risk mitigation, particularly on our supply chain, to have unified data on that so we can see it and using AI for that. We didn't have a clear unified view of supply chain in terms of risk and sourcing data, so that became #1 priority. There is also an absolutely increased urgency in the last year or so to invest in cybersecurity. We'll be spending more in that space. It's not just on providers, there is a need to potentially increase headcount in the security area too. SaaS and data are other priorities. There is also a push to consolidate more spend on one cloud provider. Usage on our cloud provider is going up significantly because of AI.*
- **Customer 3:** *We're definitely reallocating spend to AI vendors. There are also small pockets of opportunity in data catalogue and data management spend, maybe business intelligence although that is getting tricky with AI. Areas where we are not pulling back on because they are required, include data privacy and preventing data breaches, a lot of that is more important with AI. So we're investing more in cloud management, security management. There is no pressure to reduce data management and security because they are critical. Observability is also definitely a big one we are investing in. Also, there is a lot of hope and optimism around AI coding agents, we're testing Cursor, OpenAI Codex and Anthropic Claude, and we have been hesitant to lock into one just yet.*
- **Customer 4:** *In the budget we're always prioritizing and focusing on security. I don't know if it's an increased focus because you always focus on security, but that's the only one I can think about aside from AI.*
- **Customer 5:** *The AI dollars are definitely getting prioritized for sure. That's corresponding with the rapid innovation and iteration in the space. That's a good thing. It's a major investment, we have to look at all of our workflows and really invest there. Obviously it's not a net zero change, so it's dependent on two factors: 1) how forward thinking your enterprise is for adopting these technologies. 2) what portion of your existing spend needs to be re-allocated. A lot of the integrations that exist today in products like AWS Bedrock you don't actually have to shift the spend to the model vendors, you can piggyback on existing engagements to get some of the benefits.*
- **Customer 8:** *The total spend on cloud compute is growing, probably 8-9% annually. We've largely completed our migrations. Everything we wanted to migrate has been migrated. We have sensitive data on-prem for things like algorithms. We're about 90% on the cloud and that 10% remaining is sensitive patient data.*

- **Customer 9:** *The end-of-2025 budget is what we received for 2026 but with much more focus on AI. We are facing a hockey stick ramp on AI. Until last year, we were cautiously optimistic on AI. Since November, the whole trajectory has changed. This year, it remains much in focus. We recently bought a massive supplement of Copilot licenses for the whole organization, a very high amount irrespective of the geopolitical and macro situation. We have chatbots and self-service programs, using Copilot for product requirements or AI for Jira tickets.*
- **Customer 12:** *Top few areas where we're shifting top priorities or increasing spend is network infrastructure. We've been investing so much in fiber, 5G, and resiliency in our network, so that will be top priority still and it's critical infrastructure that becomes strategic down the road. Also, we're focusing more on AI and automation, like helping to reduce labor costs down the road and increase efficiency in labor force. Deploying new AI tools to employees and testing the waters, with hiring freezes in locations due to deploying automation tools. Running our own AB tests, and if it's generating more productivity, then we'll run it out in more places across the organization. AI tools we are shifting to are OpenAI, etc. Last piece is cyber security with the things going around in geopolitics and cyber risk. We're increasing cyber security because we are a regulated company and our customers are the government, hospitals, etc. We've been hiring like crazy there and our infrastructure controls the nation.*
- **Customer 13:** *Security compliance is something that has grown year-over-year anywhere from 10% to 20%. I do expect that to continue growing simply because of how early stage we are with AI technology and how our digital ecosystem and technology ecosystem continues expanding. There's a lot of resources being spent out there. Dollars are definitely going towards software development because that is the use case that is large and growing and has proven to us to have one of the highest impacts. So this is around coding, developing, etc. Dollars are also going towards content creation. So being able to use image generation models and video generation models to create and help our production companies who are creating TV shows.*
- **Customer 14:** *We're shifting towards data intelligence, data and invisible infrastructure if you will. Moving away from the SaaS world toward platform and heavy AI integration, and shifting away from pure automation to augmentation in luxury. Number one area of investment is AI and data, around our in-house AI project for 1B euros, and investing in customer experience and clientele stack, along with investments in larger platforms like Adobe, Salesforce and ServiceNow. Moving toward agentic experience, like clientele preservation and overall client advisor tools which we develop in-house. We heavily invest in third-party content creation, pure volume in DAM which is around content supply chain and augmented generative AI investments. Continue to invest in data governance and compliance, as well as ESG software. Tier 1 is fastest growing like data, AI, and clientele preservation. Tier 2 is enabling tech categories like content creation stack and the omnichannel. Tier 3 is supply chain, governance, operations, and risk spend.*
- **Customer 15:** *AI is obviously getting a lot more traction. Also similarly, a lot more traction in terms of the expansion into different clouds, right? So more than one cloud that's driving another kind of usage or spend increase. Then expansion in software, think Salesforce, think ServiceNow, think SAP is also expanding. So those are the broader categories, I would say, broader 3 buckets. Data usage is naturally growing because the volume and the size of the data is growing. So that's the natural increase of the data layer, right? And then everything that goes around it, right? So your infra, your data processing layers, your transformation layers, all of that kind of equally will continue to grow.*
- **Customer 16:** *The most important investment areas today are business intelligence related to data-driven decision processes and the use of AI in engineering, more related to ML technologies. We're also migrating to SAP S/4HANA using Rise.*

- **Customer 17:** *Broadly I would expect we would increase our AI spend. My 2025 AI spend was up 3.5x from 2024. I don't expect that velocity to be the same but we'll probably see a 60-80% increase this year. I'm no stranger to this phenomenon (where some vendors are pressured to fund others), almost, every year is similar, all the spend in the last decade or so was in data, then analytics, and then AI has continued to increase and comes at the expense of some of my peer teams that have reduced in size. That is continuing this year.*
- **Partner 1:** *For AI, there is a recognition that the same level of funds will be required. I also see at least three or four large clients have a separate budget for AI either for infra, engineering, or consulting services. AI spending is inflecting. Clients are becoming smarter. Clients who are serious about AI are hiring senior people to drive AI strategy because it should be done through the business lens and not just a tech lens. Writing a query in excel with an AI agent that costs \$50k, that's not worthwhile but driving change across the business is. I haven't seen any customer instances of blowing through AI budget but I do think that will happen. There's a frenzy of everyone wanting something AI to show to higher levels.*
- **Partner 4:** *There's no doubt that people are focused on AI. They are budgeting for AI, and they're trying to figure out how to invest in AI for their organization. What I'm seeing is that's leading to prioritization for other spending. I'm not really seeing budgets cut in place of AI, but I am seeing AI road maps drive budget decisions. And sometimes those budget decisions, especially with AI are very data-focused. And a lot of that data focus is pushing people to larger infrastructure projects. So upgrading their ERP system would be an example. Implementing a data lake or data warehouse like a Snowflake is an example.*
- **Partner 6:** *Cybersecurity continues to do well. Cloud compute, any associated adjacent hyperscaler budgets and expenses continue to rise. Data is doing well.*

What is Being Deprioritized

Of course we and investors are just as interested in having a feel for the spending items that are being deprioritized, in most cases to make room for the 2026 focus on AI, data, cybersecurity and cloud infrastructure. In terms of what is getting deprioritized, we heard a) limit internal headcount growth or even to cut headcount, b) cut external IT staffing or offshore systems integration services spend, and c) the most frequent deprioritized budget item was spending on SaaS or application software, with a desire to contain incremental spend, seat growth and add-on modules.

- **Customer 1:** *The biggest opportunity to cut are with the IT service providers that are supporting a lot of the implementation work. Given AI, we are looking to take out 20-30% of costs out of our system integrator spend. There is room to cut back here. For instance, the amount of internal and external labor we need for our SAP 4HANA deployment is not sustainable. Areas like ERP are not going to expand as much. Some of the data platform and data analysis tools I think are more mature. I see a lot of that in the call center space as well where there could be opportunities to cut costs. Anything where you could automate a lot of the manual processes, but I think we're very early in those stages in being able to drive that. We've been mostly buying stuff on a time material, staff augmentation standpoint. You're paying hourly rates that are increasing year-over-year and probably spending a lot more than other benchmark best in class orgs, so quite an opportunity for us to consolidate. Internally, headcount is definitely constrained. I don't think it's quite like in the tech sector, but we're definitely slowing. Maybe we're not buying as many add-on tools as we would have beforehand. With AI we're being conservative with the number of licenses we're provisioning across the org.*
- **Customer 2:** *Blue sky IT projects are getting deprioritized. For us in retail, we are thinking about how we can cut costs not just in IT but marketing and other areas. If we just flatten hiring, not cuts, but not accelerate, that can help. We are looking at marketing as a space where we used to have large spend with outside providers, that can be 10s, 100s, millions of dollars in spend that we turn off immediately. There is also absolutely room for optimization around software seats. That's something we're working on.*

- **Customer 3:** *There is pressure in incumbent software vendors to prove their value and as AI increases and headcount decreases they will be losing revenue, they're trying to do what they can to make up that revenue but they have to prove to us that they are adding value to keep that license. Across the SaaS vendors, nothing that has come out that has been like oh we need to go to this vendor. The pressure is on for all vendors to prove their value. Everything that is license-based we are seeing decline. All of our agreements that are required to be enterprise wide, ERP, HR, productivity suites, all those are going to get hit, everyone is reducing headcount. We can right-size contracts with shorter terms.*
- **Customer 4:** *We're deprioritizing initiatives related to human collaboration. If more and more workloads go into agentic AI or agentic automation, then we'll see a decrease in reliance on tools that facilitate human collaboration. That could be things like Atlassian, or enterprise tools like Workday and Salesforce.*
- **Customer 5:** *In terms of what loses in the budget, I think it's going to be mostly services-related spend that loses out. What AI is doing well directly correlates with your offshore services organization or even some of your lower cost entry level software engineering functions.*
- **Customer 6:** *AI is obviously getting prioritized, everything else is getting shrunk. With everything AI-related, companies are looking for ways to shrink their operational cost, both in terms of software spend and doing some consolidation and clean up as well as in headcount reductions. Having separate DevOps teams, separate IT groups. You're seeing a consolidation there. What used to take 10 IT people in one part of the group can now take far less as a result of AI efficiencies. We're cutting heads in a lot of places. Tech teams are getting hit harder than I've seen before. We're cutting in areas like if you have voice agents, you don't need as many people to answer the phone calls.*
- **Customer 9:** *All these other topics we have to squeeze to make room for AI. AI has promised a lot in customer service and support. The primary drop is in call centers because these are moving towards AI. Contact center RFPs are purely AI-centric. The line of business is massively impacted. Second is data centers, racks, and servers, we are not installing or deploying and are moving more to cloud. We are not being asked to cut headcount yet. The question is in the room though.*
- **Customer 10:** *We ring-fence a bunch of budget for AI. I wouldn't say we're pulling back on investments, but the optimization makes us more efficient and we have the hardware impact on supply. We're focused on limiting risk, cost, and maximizing business opportunity. Everything else is deprioritized. We're always throttling back on external IT resources and held to strict ratios of permanent and external resources, so there's a definite push there. There's an awful lot of work to optimize bills and spend at the moment. Focusing on eliminating any contract we can live without and any capacity we don't need.*
- **Customer 12:** *We are thinking about where to reduce costs as an organization as a whole, so we can reprioritize the IT budget to what is required to keep the lights on and regulations, then scrutinizing the things that are nice to have. Going to see if it's true ROI. Pilot AI tools that we were trialing and experimenting, ones where vendors are not offering us a free trial and we need to pay for, those are already starting to get slowed down for this year and cut. Then anything that is non-core analytics tools. We are a very big Microsoft Azure customer. We use Snowflake to move data between third-party vendors and channel systems, but maybe we don't need them and can just use Microsoft. Observability is another area. We have a few tools like Dynatrace and smaller ones through Cisco and HP, and it doesn't make sense to use a handful. We are going through a CRM transformation, and we wouldn't cut CRM or ERP outright, but we may slow expansion and optimize licenses. Need to look at contract and see, do we really need that, or should we just cut and replace it with something that is streamlined across the company. Another thing is device refresh and hardware cycle. Reducing hardware refresh due to inflation costs. Trying to figure out how far down the road we can continue to use this hardware in regard to security patches, maybe we don't need the newest version. If it's not a priority, might let it fail and just replace it later because we know it won't have a big impact. Headcount more flat, not adding additional headcount and stabilizing internal costs so we can focus on revenue generating activities. In terms of third-party vendors, more cutting costs with software that third-parties are using, more per seat licensing costs. Costs don't go away but shift.*

- **Customer 17:** *There hasn't been a carveout of a specific AI budget. It's put pressure on several items such as ERP and other data source systems, they have significant pressure both on headcount and consumption because we're using that to self-fund AI initiatives. We're seeing this in IT staff, a lot of repetitive tasks like ticket management, many of these roles are being eliminated. From the vendor landscape, the ones getting impacted are the SI ecosystem and MSPs, those have pressure and have discretionary projects getting deprioritized. We have a large ERP move as well, one of those projects has been shelved and we're going to shift that funding elsewhere. The Infosys's, Capgemini's are getting impacted where they're typically winners of large contracts.*
- **Partner 1:** *There is a reduction on ERP, status quo apps, custom apps, and hard negotiations with managed service providers to cut costs. You have to find money to spend money somewhere. It's a catch-22 for CIOs. They know these apps are still at the heart of the system. Your ERP is not going to be replaced in the next 5-10 years but they're trying to get the same services at lower cost. Managed services realize they need to keep the client so they are lowering the cost. We do ration, going lower margin on managed services if we get work on cloud migration or GPU resale services. Cuts in these lower priority areas are not happening yet, especially in large organizations. Even midsize CIOs know they can't cut budget for apps dramatically because business will come back and the apps will not be there. So it's a slow burn.*
- **Partner 2:** *AI is starting to monopolize the budget and take from other categories, which will be a later this year thing. Right now everything is cheap and in the want-to-try-it phase. People are willing to have four subscriptions to try it out. Can see later this year the tools increasing costs because now you're hooked. Think we'll see pivot from legacy tech as well as other categories. It's easily justified in some ways, take the marketing budget category and have a tool that automatically sends emails on behalf or does ad campaigns. It coming out of the headcount budget and going in the technology budget makes a lot of sense.*
- **Partner 3:** *I think AI investments are crowding out SaaS investments in SMB. There's a lot of chatter, hey can you just code your own CRM or your marketing automation platform, there's new conversations that pop up on LinkedIn on a daily basis around this topic. But what we're seeing is, when you look at midsized companies and even small enterprise companies, there may be a few innovators internally that are testing these types of tools out and seeing what they can build internally for micro use cases. But at the end of the day, companies of that size, they aren't in the business of developing software, developing CRM and marketing automation software.*
- **Partner 4:** *What I'm seeing is sometimes something like CRM or marketing automation that HubSpot might feature can be pushed a little bit down the prioritization list because they have bigger fish to fry, they've got bigger challenges. There's a lot of outdated tech out there, and there's a lot of people that have put off capital investment on some of those things in recent years. I think the AI piece is really driving a lot of demand and urgency to kind of level themselves up.*
- **Partner 5:** *Given the macro uncertainty, there is this sense that companies are laying off human force to invest in tech, in IT and AI, even without knowing what it is replacing. They are pushing R&D spend for AI, for tech to be more streamlined. They are spending more but they are laying off people, and it will be a domino effect, but we are not seeing companies scaling back spending on IT.*
- **Partner 7:** *The only thing that I'm really seeing getting deprioritized is the new purchase of SKUs, new functionality, and new technology. The spend is still there to keep the lights on, or if they've made an investment in the last year or 2 or 3, they continue to optimize and modify what's been purchased. But it's the spend on needing new or it's the like to have, not the must-have that's being put on hold.*

Procurement/Contract Changes

During the call that we hosted this past Friday with three enterprise IT Procurement officers, we asked how the procurement and contracting process was changing. One of the interesting and common threads was the desire to sign shorter-term contracts with software/tech suppliers, in part because of AI, as the pace of change has accelerated and as Customer 1 said, “we’re concerned about betting on the wrong AI platform, what if we bet on the wrong tool?”. These customers also cited a desire to add exit clauses as well as more flexibility to “true-down” seat commitments with SaaS firms over shorter timeframes if/as they cut internal headcount. Notably, the shift toward shorter contract durations could act as a headwind to cRPO, RPO, and bookings growth for enterprise software firms.

- **Customer 1:** *We've historically tried to lock in longer term contracts with price locks. Now we're concerned about betting on the wrong AI platform, what if we bet on the wrong tool? We could miss the boat or have locked ourselves into something we can't get out. This is making us second guess our historical strategy of locking into longer contracts in order to secure better pricing. Usually contracts don't have exit clauses but that is something we're starting to explore. This has never in my career had to be prioritized.*
- **Customer 2:** *We have typically wanted longer deals to get better pricing. We even add price caps if we have a 2-4 year deal and think we will leverage a company for 10 years. But now we don't know what's going to change so we're focused on shorter deals, 1 year deals, but with a price cap. So even if our input goes up, our spend is not going up drastically.*
- **Customer 3:** *We are trying to add more flexibility to contracts, in part by signing shorter-term deals. We're also looking at true-ups and true-downs, how we manage users, making sure we are not paying too much for that, the ability to roll-over unused consumption, looking at pooled consumption. We're also looking at tiered pricing, we want to get better economies of scale if we do go up in tiers. On seat true-downs, it sometimes can only happen at renewal, depends on the vendor and contract. Some allow us to true-down annually, some even per quarter. Sometimes we will cut seats but add new products so we're really reallocating spend, or we might upgrade to a better tier, win-win for everyone.*

Price Negotiations with Software Firms

It is also clear from these conversations that the degree of pricing push-back against software suppliers is rising, no surprise in a tough budget backdrop. To date, it doesn't sound as if software firms are “bending” on price yet, but the pressure sounds like it is mounting. Atlassian was able to buck the trend and post solid 1Q26 results, and we wonder if this is partly a reflection of the fact that Atlassian's price points are relatively low to start with, and hence Atlassian's price increases and bundling efforts are not being met with as much resistance as others. Enterprise application software companies with higher price points and a heavier reliance on annual price escalators may be the most exposed.

- **Customer 1:** *We're now trying to challenge some vendors to include some AI efficiencies in their pricing terms. If our software suppliers are embedding AI in these products and seeing lower costs and efficiency gains, we want to share some of that benefit. So we're challenging tech vendors to help us capture AI savings, this is a form of pricing pressure yes. We've had limited success so far, just a couple of instances where we've been successful. The challenge is that we need to put competitive pressure on these suppliers to show that we have that leverage. If there is perceived competitive pressure it gives us more leverage than we'd otherwise have.*
- **Customer 2:** *We see big and small providers wrapping AI into their products, they're now telling us there's going to be more efficiency from AI yet they're increasing prices. We understand that but it doesn't change our budget. What's happening is that these providers are figuring their models out and a lot of the new AI is getting dropped in now to buyers like us. Our thought was pricing would be flat, or if AI is resulting in more efficiency, going down but in fact software pricing is going up significantly. We need transparency and consistency around budgets. Providers who are doing that, we will work with. Our conversations with SaaS and broader vendors is that everything is changing, you're changing your*

models, we're changing, we need this to be partner-like and be flexible on pricing. Some companies are but some big companies are not. We are willing to switch to other vendors. Just because you are the biggest CRM company, doesn't mean we've had the best experience and are willing to move away. The Microsoft's of the world have a lot of pricing power.

- **Customer 3:** *I don't want to pay innovation fees or support fees, that shouldn't be a portion of our spend, support usage does not correlate with how much I spend on the product. Those are the fees that will feel a lot of pressure, I don't need to support because can go to AI and ask the question to AI. Support fees and innovation fees I push back on, platform fees sometimes make sense. I shouldn't be paying for both a headcount or seat fee and a platform fee.*
- **Customer 6:** *Every vendor is up for discussion. We look at both pricing and offerings. Any company that has raised pricing significantly, we're moving that to the chopping block. There are companies we've severed ties with because they raised the cost by 3-4x. We have a large initiative to get off these vendors.*
- **Customer 10:** *For the last 10+ years we've had very little pricing power relative to our software providers, we've been forced to take their price increases. With AI, and the ability to custom-build alternatives to buying 3P software, as well as the fact that AI has made the software sector more competitive, we finally have the upper hand, finally we have some pricing power ourselves. We intend to use it in upcoming negotiations.*
- **Customer 12:** *We have contracts for software and hardware where we have prices locked in, we are safe there, but some are just 3-5 year contracts and only have price locks for 1-2 years. We are preparing for price increases that are happening, but uncertain of what those price raises are. Cisco we are negotiating with for switches and routers, but they don't guarantee price for more than 2 weeks and have been slowly increasing the costs due to shipment & memory price increases due to all the data centers and such.*
- **Partner 1:** *Enterprises are getting tougher on pricing, and they're using the market for their benefit. Clients are using the current market sentiment to negotiate harder for extensions or additional seats. SaaS providers are on the back foot because no one knows what they will be in 5 years. I don't know how they could be replaced by AI. Coding could be replaced by AI agents, I agree, but the logic around that will take time for AI in my view. So I think the pressure on SaaS is a little bit overdone. It won't be replaced in 5 years.*

Shift to Usage-Based Software Pricing Models

We and software investors have been struck by the rapid pivot over the last few months by many software firms away from pure seat-based pricing models to hybrid (seat-plus-usage) or pure usage-based models. In our view this is likely a function of several factors, including a) rising usage rates as their AI products mature and improve, b) a reaction to weaker headcount or seat growth trends at many customers (consistent with our observations above) and c) a desire to offset decelerating revenue growth. These shifts seem inevitable, and in fact as Customer 10 describes below, usage-based pricing might even be preferred by some customers. Our main take here is that the transition to a seat-plus-usage model is going to be met with some resistance by customers. Software firms are already talking about how revenue-accretive this shift could be to them over time, but it may not be so simple if/as customers throttle elsewhere to offset the spending increase, by optimizing or cutting seats or putting firm usage guardrails in place.

- **Customer 1:** *I don't know if I've necessarily seen a huge uptick in AI-based usage yet, probably because we're not that aggressive in AI deployment compared to other sectors, we're more on the conservative side. But if we're forced into usage-based pricing, then it might have an effect that won't be positive for those companies. We may limit seat or licenses even further, only give them to people who can only generate clear ROI. That might cannibalize some of their revenue. Or it might drive us to develop tools in-house for internal usage. I don't think this pricing shift will have the long-term effect these vendors are looking for. Token consumption needs to be managed more holistically.*

- **Customer 2:** *These pricing transitions are messy. They require a lot of clear communication and collaboration. Our budgets aren't skyrocketing every year just because our providers change to a usage model. We've been seeing this and needing time to understand how to rework our contracts. If it becomes usage-based, there are limits and overages. It's important for us to understand what that is going to look like and have teams on the ground who understand they need to stay within bounds. If a provider is super sticky and we have a large part of the organization using them regularly, they can pivot to usage more easily, but we have to stay below a certain budget target. Once the model changes, we may need to severely restrict use.*
- **Customer 3:** *We see everyone now trying to charge for consumption, trying to charge for AI tokens, and we are pushing back pretty hard on double dipping (seats plus usage), because in most cases the vendor costs are based on one or the other and usually usage. As long as there are cost management functions built into the tools, then I'd rather see more consumption-based pricing, then we can give access to everyone knowing not everyone will use it in the same way. As long as we can put limits in place, guardrails in place to limit usage. The tools that don't have different user types but charge a ton for people that use it even very little will feel a lot more pressure from people like me.*
- **Customer 10:** *We are deploying AI coding tools, Microsoft GitHub Copilot and Anthropic Claude Code, to our 15,000 software engineers. Adoption varies, but there is a cohort of perhaps 40% of users that are burning through their token limits. We don't want to throttle them, as we're very focused on driving AI adoption in the organization, so we've been forced to optimize elsewhere to stay within the budget. We'll find offsetting savings by cutting external IT staff or by optimizing our existing cloud infra and apps spend. We actually don't mind usage-based pricing. The alternative – some all-you-can-eat ELA structure – often results in too much unused capacity.*
- **Customer 11:** *We started out small at first with token usage and then we saw it explode. We went over our limit, and management told us to pull it back. It wasn't too insane because we did start off small, but we're seeing it get more and more expensive, and we don't really know why or what's causing it. It's very important to have guardrails and caps in place to not let the spend get out of hand. We have our own little budget carved out for it, can't say how much, but would never get rid of other critical software just to make room for AI.*

Build Versus Buy Decision

One of the fascinating trends that has emerged over the last 1-2 years has been the uptick in the number of customers that we speak to that are custom-building more of their AI and non-AI applications in lieu of procuring off-the-shelf software products from 3P vendors. In our view this mix shift has NOT let up or reversed in recent quarters, creating another headwind to 3P software company revenue growth going forward.

- **Customer 1:** *We use a combination of build and buy. By and large we do not have the full capabilities in house to just build new software applications, we're not Google. But we're looking to learn over time because we do see cost and infra risks if we continue to outsource. Right now we are currently using third-parties because we don't have those resources.*
- **Customer 3:** *We are building in-house with LLM models to build agents in-house, and sometimes we'll use the AI tools of an existing provider. A bit of everything. Our legacy culture was to build everything in-house. Then we moved to buy, now more in the middle. We are very comfortable internally at building things.*
- **Customer 10:** *Yes we can build more, but that doesn't mean build versus buy is the right move. Just because we can churn out software faster doesn't mean we don't buy, and we need to make sure it's as cost effective as possible. There are pieces of the architecture that are less differentiated. Where we're talking about building is for things that are highly differentiated. In areas less so, we want to continue to buy and that's why we also don't want the SaaS vendors to hide behind a restrictive license. That would make us prioritize non-critical areas.*

UBS Bottom Line

Most of the recent investor and media attention on the software sector has been on the perceived medium-term AI displacement risk and the resulting compression in valuation multiples, particularly among the seat-based SaaS or application software firms. This is a real risk, although as one can discern from even this round of checks, the vast majority of enterprises are not harnessing AI technology to rip-and-replace their core software applications. That's just not happening, at least not yet. The UBS Software team has weighed-in over the last several months with our views on this medium-term AI displacement debate in a number of recent reports, as shown below:

- [The Software Meltdown](#), Feb 4, 2026, Karl Keirstead
- [AI vs SaaS: Framework for Evaluating Disruption](#), Mar 31, 2026, Taylor McGinnis
- [Industry Feedback on AI Cyber Disruption](#), Mar 9, 2026, Roger Boyd
- [Revisiting AI Tailwinds in Cybersecurity](#), Feb 25, 2026, Roger Boyd
- [JFrog Upgrade to Buy](#) – No Signs of A Slowdown, AI Disruption Concerns Look Overdone, Mar 23, 2026, Radi Sultan

Near-Term Budget and Procurement Impacts

While the lingering debate about the medium-term impact of AI on the software sector is critically important, that is not what this particular report is about. In this project, we wanted to aggregate and share what we've heard from customers and partners about shorter-term IT spending trends, what categories of spend are getting prioritized and deprioritized, how customers might be adjusting contract terms and how customers are reacting to software sector pricing changes. In a nutshell, it's rough out there for many—but not all—enterprise software firms. Overall IT budgets and spending intentions appear constrained, reflecting a combo of AI impacts (uncertainty about future IT architectures and pricing models as well as the need to fund AI initiatives), macro and geopolitical uncertainty (including the impact of energy inflation on consumers) as well as headcount cuts (or at least slower headcount growth) at a growing number of customers.

But the real story is one layer deeper, in how the mix of spending is shifting. It is clear from these checks that the demand backdrop is much healthier for any software firm exposed to the AI, data, security and cloud infra segments. Hearing this directly from customers is helpful supporting evidence, but we can all see this in the extraordinary recent results from Anthropic and OpenAI, the material acceleration in the cloud infra market (AWS, Microsoft Azure, Google Cloud, Oracle and the neo-clouds), the accelerating growth rates of data/infra-exposed software firms such as Palantir, Datadog, Databricks and Snowflake, as well as the solid recent results of many cybersecurity firms. These tech suppliers are all on the right side of the divide, and already have pricing models that are more (or entirely) usage-based.

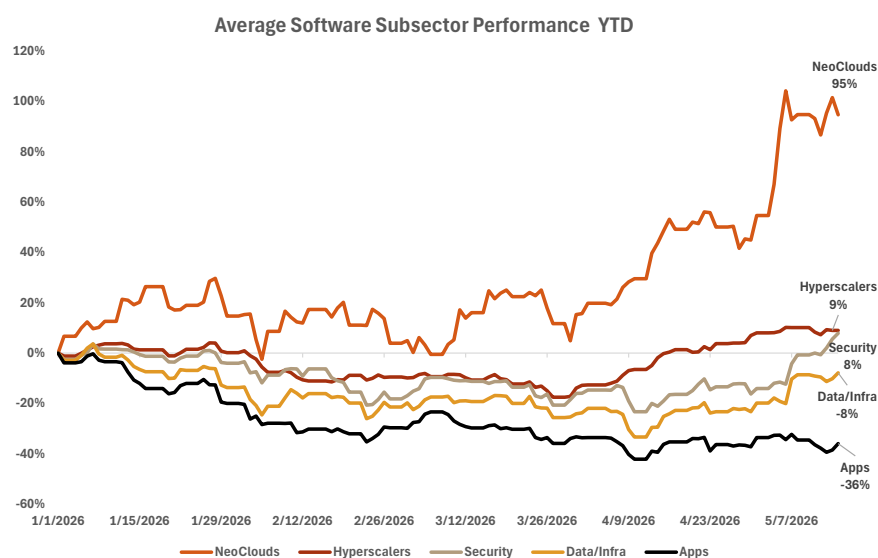
The near-term pressure, very evident in these conversations, is on SaaS or application software firms. This spending category landed far more often in the "deprioritize" list, as enterprises we spoke to talked about constrained software seat growth, a reduced appetite for new add-ons or extensions and resistance to price increases. In our view, this demand pressure is already showing up in mixed results and/or guidance across application software firms (ServiceNow, SAP, Salesforce, Workday, HubSpot) over the last two quarters. Again, this is occurring even BEFORE any medium-term AI displacement occurs, if it does. In our view (expressed more fully in the "Software Meltdown" report, see [here](#), that we published in early February), this is partly a reflection of a maturing SaaS end market, as penetration rates are now very high (particularly in the Enterprise market, with ServiceNow and Salesforce making a larger push down-market), coupled with slower headcount growth rates at many enterprise customers. Outside of the software sector, the feedback tilted more cautious than not about spending with IT services firms.

These near-term pressures alone might be enough to dissuade investors from stepping in too aggressively into de-rated application software stocks, but we'd note that there is another (unfortunately negative) trend that has yet to overtly play out that goes beyond the "AI crowding-out" budget risk. That is the risk that enterprise customers hesitate on software decisions in 2H26 given the material uncertainty around what technology architecture makes the most sense, what specific AI platform to bet on and how new pricing models will impact software budgets. It isn't just investors that are trying to look through a fog of uncertainty, so are enterprise customers. This was evident in the desire of several checks above to pivot to shorter-term and more flexible contracts. It was also evident in Microsoft's guidance for a sharp deceleration in Dynamics 365 revs growth "as customers evaluate various scenarios".

How Much of This is Already in Stocks?

As we highlight in Figure 1 below, very sharp differences in underlying fundamentals is already reflected in the YTD stock performance by software sub-sector. As we illustrate, stocks serving the cloud/GPU infrastructure, security and data sub-sectors have materially out-performed the SaaS or application software sector. Software is no longer one monolithic segment with broadly similar demand trends. Rather, the intra-sector divergence might be at a historical high and being on the right side of these sub-sector shifts has been THE major determinant of performance for many software investors. At a high level, the anecdotes we share in this report about near-term IT spending and contract procurement trends are consistent with—not at odds with—the YTD stock performance by sub-sector. The only exception might be in the data software sector, which has lagged YTD despite Palantir, Snowflake and Databricks posting very strong results. As such, we remain positive on the stocks of Palantir and Snowflake. For application software stocks, the significant YTD underperformance relative to other software categories suggests that a modest deceleration in core growth, along with many of the risks tied to a weaker spending backdrop, is now largely priced in; however, these anecdotes may still serve as a reason to remain cautious and tread carefully. For instance, as our checks suggest, the introduction of usage- or consumption-based pricing to historically seat-based models could create incremental near-term disruption.

Figure 1: YTD Stock Performance



NeoClouds	CRWV	DOCN	IREN	NBIS	ORCL
Hyperscalers	AMZN	GOOG	MSFT		
Security	CHKP	CRWD	FTNT	OKTA	PANW
Data/Infra	DDOG	DT	MDB	NTNX	PLTR
Apps	ADBE	ADSK	CRM	HUBS	INTU

Source: FactSet

Valuation Method and Risk Statement

Investing in the technology sector entails above-average risk given low sales visibility, rapid pace of innovation and technological change, intense competition, frequent M&A, and low barriers to entry in many markets.

SNOW

Our price target is based on an EV/Sales multiple. Risks to our price target include Snowflake's historically-high valuation, high investor expectations, and the fundamental risk that a rival in the cloud analytics market (Amazon, Microsoft, Google or Databricks) might emerge over the next several years with an even better product.

PLTR

Our PT is based on a CY27 EV/FCF multiple, given Palantir's mature operating margin structure. Risks primarily include competition and lack of visibility into the US Government business.

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12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	54%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 31 March 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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UBS Securities LLC: Karl Keirstead, Madeline Tribendis, Radi Sultan, CFA, Roger Boyd, Taylor McGinnis.

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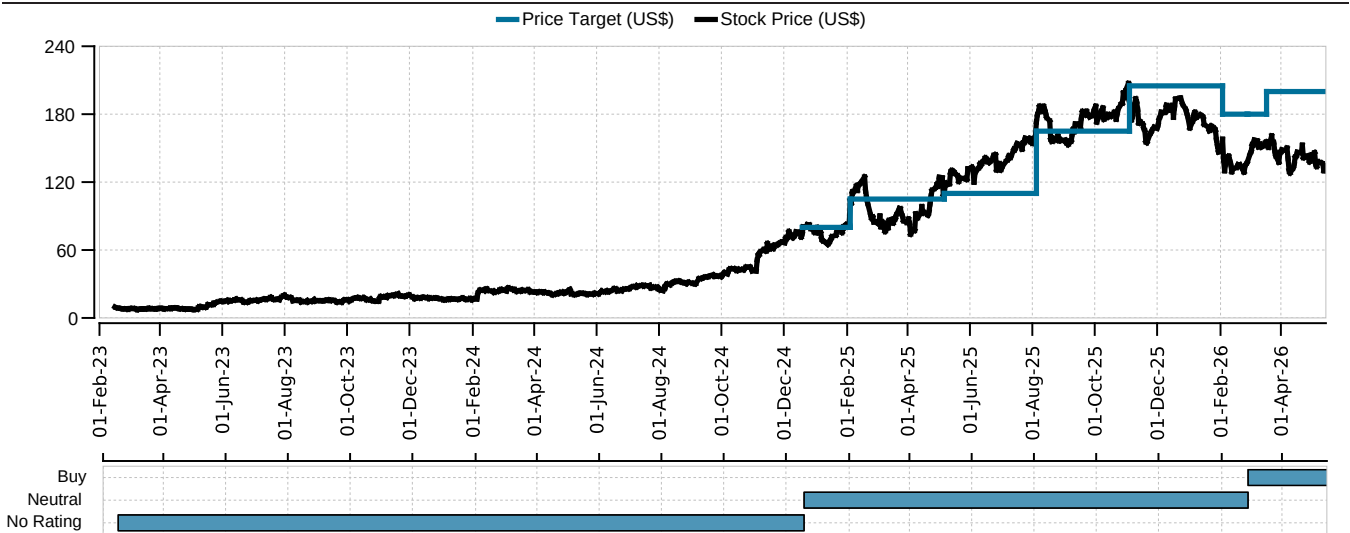
Company Name	Reuters	12-month rating	Price	Price date
Palantir Technologies Inc ^{16,28,20}	PLTR.OQ	Buy (CBE)	US\$133.99	15 May 2026
Snowflake Inc ^{16,20}	SNOW.N	Buy (CBE)	US\$157.47	15 May 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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Palantir Technologies Inc (US\$)



Date	Stock Price (US\$)	Price Target (US\$)	Rating
2023-02-15	10.11	-	No Rating
2024-12-18	71.51	80.00	Neutral
2025-02-03	83.74	105.00	Neutral
2025-05-06	108.86	110.00	Neutral
2025-08-04	160.66	165.00	Neutral
2025-11-03	207.18	205.00	Neutral
2026-02-02	147.76	180.00	Neutral
2026-02-26	135.94	180.00	Buy
2026-03-17	155.08	200.00	Buy

Source: UBS Global Research; LSEG Eikon as of 15-May-2026. All prices as of local market close. Ratings as of date shown.

Snowflake Inc (US\$)



Date	Stock Price (US\$)	Price Target (US\$)	Rating
2023-02-15	175.28	140.00	Neutral
2023-05-18	184.31	170.00	Neutral
2023-05-25	147.91	155.00	Neutral
2023-11-30	187.68	185.00	Neutral
2024-02-21	216.21	225.00	Neutral
2024-02-28	230.00	185.00	Neutral
2024-05-22	163.34	190.00	Neutral
2024-06-04	137.00	171.00	Neutral
2024-08-19	131.42	155.00	Neutral
2024-09-23	113.26	125.00	Neutral
2024-11-20	129.12	155.00	Neutral
2025-02-18	192.78	190.00	Neutral
2025-02-27	173.69	200.00	Neutral
2025-05-21	179.12	210.00	Neutral
2025-06-04	209.60	265.00	Buy
2025-08-13	196.87	250.00	Buy
2025-08-27	200.39	285.00	Buy
2025-10-07	234.81	310.00	Buy
2026-02-12	172.91	265.00	Buy
2026-02-25	169.21	235.00	Buy
2026-04-20	150.44	210.00	Buy

Source: UBS Global Research; LSEG Eikon as of 15-May-2026. All prices as of local market close. Ratings as of date shown.

Additional Prices: Source: UBS. All prices as of local market close.

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